Indian Railway Finance Corporation Ltd

IRFC

Sector: Financials | Sub-sector: Speciality Finance | NSE: IRFC

Key Metrics (Latest Year)

13.04% ROE %	5.75% ROCE %	24.06% Net Profit Margin
8.38 Debt / Equity	19.07% Revenue CAGR 5yr	7906.0 FCF (Cr)

Revenue and Net Profit (10 Years)

Year	Revenue (Cr)	Net Profit (Cr)	OPM %
Mar 2016	7507.0	849.0	99.0
Mar 2017	9047.0	934.0	100.0
Mar 2018	9267.0	2055.0	100.0
Mar 2019	11134.0	2255.0	100.0
Mar 2020	13421.0	3192.0	100.0
Mar 2021	15771.0	4416.0	99.0
Mar 2022	20299.0	6090.0	99.0
Mar 2023	23722.0	6167.0	99.0
Mar 2024	26645.0	6412.0	100.0
TTM	26902.0	6537.0	99.0

Return Ratios (10 Years)

Year	ROE %	ROCE %	D/E	NPM %	FCF (Cr)
2015	8.73	8.64	8.21	10.92	N/A
2016	7.37	7.54	7.59	11.31	-16376.0
2017	7.78	7.62	8.86	10.32	-19453.0
2018	14.75	6.24	9.62	22.18	-28074.0
2019	9.01	5.57	6.95	20.25	-41747.0
2020	10.54	5.05	7.74	23.78	-62700.0
2021	12.3	4.36	9.0	28.0	-89907.0
2022	14.85	4.7	9.47	30.0	-64417.0
2023	13.8	5.1	9.38	26.0	-28588.0
2024	13.04	5.75	8.38	24.06	7906.0

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Cash Flow Summary (5 Years)

Year	CFO (Cr)	CFI (Cr)	CFF (Cr)	Net Cash (Cr)
Mar 2020	-62701.0	1.0	62697.0	-2.0
Mar 2021	-89907.0	0.0	90202.0	296.0
Mar 2022	-64412.0	-5.0	64266.0	-151.0
Mar 2023	-28588.0	0.0	28644.0	56.0
Mar 2024	7914.0	-8.0	-8046.0	-140.0

Strengths

+ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
+ Operating profit margin above 25% indicates strong pricing power and cost discipline
+ Net profit compounding at above 20% over 5 years creates significant shareholder value
+ Consistent dividend yield above 2% backed by positive free cash flow
+ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
+ Revenue growing slower than profits shows improving operating leverage and scale benefits

Concerns

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Net debt exceeding 3 times FCF is a high leverage ratio and limits financial flexibility

Capital Allocation Pattern

Reinvestor